



Standard Operating Procedure (SOP): Suspicious Account Handling

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Updated by: Rabisankar Bhattacharjee (Sr. Manager & DCAMLCO) & Imtiaz Hossain (MTO)

Updated clause for your fast findings:

1.2 Transaction pattern>14.1, 14.2

2.4.1 Temporary Lock>Action steps,

2.5 Unlocking procedure>Decision outcomes - a,b.

3. SOP updated for Account Blocking -

Standard Operating Procedure (SOP): Suspicious Account Handling

Date: 21.09.2025

Version: 1.0

Prepared By: Imtiaz Hossain

Management Trainee Officer- Compliance

Definition of Suspicious Activity

Suspicious activity refers to any transaction, behavior, or pattern that is **inconsistent with a customer's known legitimate financial activities**, or appears to have **no clear economic, business, or lawful purpose**, and may indicate **money laundering, terrorist financing, fraud, or other financial crimes**.

For a PSP (Payment Service Provider), suspicious activity includes **unusual transactions, attempts to conceal identity, irregular usage of accounts, or activities inconsistent with the customer's profile or industry norms**.

Section 1

Type and Risk Grading for Suspicious Activities for AML/CFT

Based on **Bangladesh Bank, BFIU Guidelines and Standard Market Practice**, the following risk grades are implemented for suspicious activities:

Category	Suspicious Activity	Risk Level
1.1 Customer Behavior	Refusal to provide valid identification or KYC documents	High
2	Providing forged or suspicious documents	High
3	Frequent changes of address, phone numbers, or identity details	Medium
4	Using multiple accounts under slightly different names	High
5	Reluctance to explain the purpose of transactions	Medium
6	Structuring transactions just below reporting thresholds	High
7	Unusual concern about regulatory reporting or record-keeping	Medium
8	Third-party conducting transactions on behalf of the customer without clear reason	High

9	Use of shell companies with no clear business purpose	High
10	Inconsistent information compared with previous records or known profile	Medium
11	Making frequent device change requests	Medium
12	Giving wrong PIN more than 3 times	Low
13	Using same NID for multiple accounts	High
14	Using punched/torn/blurry NID	Low
15	Customer/merchant not knowing vital personal information (Mother/Father's Name, DOB, Address in NID)	Medium
16	Customer/merchant not knowing/refusing to share address/shop name/relevant info	High
1.2 Transaction Patterns	Sudden large deposits inconsistent with profile (Hundi/Laundering/Fraud)	High
2	Multiple small payments followed by large withdrawals (Gambling)	High
3	Round-number transactions (e.g., 200, 300, 400 repeatedly)	Medium
4	Transactions with no clear rationale (Laundering)	High
5	Rapid movement of funds through multiple accounts (Layering)	High
6	Frequent transfers between unrelated parties	High
7	High velocity of transactions for a new account	High
8	Large volume of low-value transactions (smurfing)	High
9	Sudden increase in account activity after dormancy	Medium
10	Same amount of Add Money 8 times in a day	Medium
11	Newly opened account (first month) Add Money $\geq$ 10k	Medium

12	Late night add/transfer/BQR (12AM–5AM)	Medium
13	Same amount ≥ 5 times in a day to receive money	Medium
14	30K+ Add Money in a single day	Medium
14.1	Frequent Add Money Failure - NAGAD (15 time and more)	Medium
14.2	Frequent Add Money Failure - NAGAD (30 time and more)	High
15	BQR transactions greater than 5 times in a day	Medium
16	BQR transactions greater than 20 times in a day	High
17	Same customer payment received more than 5 times in a day	Medium
18	BQR payment received > 50k in a single transaction	High
19	Total BQR payment received > 100k in a day	High
20	Multiple Add Money rollback attempts (>5 within minutes)	Medium
21	Using another merchant's account without consent	High
22	5+ BQR Payments received from same card/Bank Account	High
23	Circular Payment and Transfer (Rolling fund used for showing increased transactions)	High

1.3 Predicate Offences (BFIU)	Corruption and bribery	High
2	Counterfeiting currency	High
3	Counterfeiting deeds and documents	High
4	Extortion	High
5	Fraud	High
6	Forgery	High
7	Illegal trade of firearms	High
8	Illegal drug/psychotropic substances trade	High
9	Illegal trade in stolen goods	High
10	Kidnapping/hostage taking	High
11	Murder / grievous physical injury	High
12	Trafficking of women and children	High
13	Black marketing	High
14	Smuggling domestic/foreign currency	High
15	Theft/robbery/dacoity/piracy/hijacking	High
16	Human trafficking	High
17	Dowry-related crimes	High
18	Smuggling/customs & excise offences	High
19	Tax-related offences	High
20	IP rights infringement	High
21	Terrorism or terrorist financing	High
22	Adulteration/manufacture of fake goods	High
23	Environmental offences	High

24	Sexual exploitation	High
25	Insider trading/market manipulation	High
26	Organized crime/group involvement	High
27	Racketeering	High
28	Other BFIU-declared predicate offences	High
1.4 Digital Payment Behavior (BQR)	Multiple BQR payments in short time (≥ 3 in 5 min)	Medium
2	Unusual use of crypto gateways via PSP	High
3	Accounts accessed from multiple geolocations	Medium
4	Payments initiated from high-risk regions	High
5	High use of anonymous/untraceable methods	High
6	Large refund requests without reason	Medium
7	Use of stolen/synthetic identities for onboarding	High
8	Customers routing payments across multiple PSPs/MFS unnecessarily	Medium
9	Multiple merchants receiving same BQR payment source	High
10	Gambling-like BQR patterns (200, 300, 400, 600, 700)	High
11	Payments during unusual hours (late night)	Medium
12	Merchant payment volume not matching shop type/scale	High
13	Merchants using payment feature just to roll funds	High
14	Multiple BQR payments from few bank cards (suspected hundi)	High
15	>50k BQR to PRA merchant inconsistent with shop/business type	High
16	No valid invoice/product trace for BQR payments	High

1.5 Merchant/Business Activity	Transactions inconsistent with business type	High
2	Payments not matching business nature (e.g., tea shop selling livestock)	High
3	Splitting of transactions to avoid scrutiny	High
4	Dormant merchant suddenly high-value (70%+ growth)	High
5	Large numbers of repetitive small payments (Gambling)	High
6	Merchants Trying to abuse the system for glitches and bugs for personal gain	High
7	Excessive chargebacks or refunds	Medium
8	Merchants in illegal/high-risk industries without license	High
1.6 Fraudulent/Criminal Indicators	Linked to known fraud/scams/cybercrime	High
2	Transactions flagged by sanctions/watchlists	High
3	Use of accounts as money mules	High
4	Transactions tied to darknet marketplaces	High
5	Funds from ransomware/illicit crypto exchanges	High
6	Transactions linked to terrorism jurisdictions	High
7	Use of stolen credit/debit cards	High
8	Transactions inconsistent with income/employment	Medium
9	Sudden shift from personal to high-volume commercial use	Medium

1.7 Business Type Based Wallet Limits:

SI No	Merchant Business Type	Daily Allowed Transactions	Monthly Allowed Transactions
1	Mobile Recharge / Mobile Banking	120,000	36,00,000

2	Hardware Store (Large)	200,000	50,00,000
3	Hardware Store (Small)	100,000	30,00,000
4	Pharmacy (Small)	100,000	32,00,000
5	Pharmacy (Large)	200,000	60,00,000
6	General Store / Mudi Dokan / Retail Store (Small)	100,000	30,00,000
7	General Store / Mudi Dokan / Retail Store (Large)	200,000	50,00,000
8	Mobile Handset and Accessories (Large)	300,000	60,00,000
9	Mobile Handset and Accessories (Small)	100,000	30,00,000
10	Apparel and Garments Shop (Small)	100,000	35,00,000
11	Apparel and Garments Shop (Large)	200,000	60,00,000
12	Agricultural Products (pest/fish/meat)	150,000	45,00,000
13	Decoration and Event Management	200,000	60,00,000
14	Tea Stall	50,000	500,000

****Any transaction pattern flagged by monitoring systems as abnormal compared to peer behavior can be considered as suspicious on a case to case basis. Risk Grading will be done accordingly through market scenarios, common fraud risk management practices and experience on fraudulent cases. This is also consistent to regulatory instruction of Bangladesh Bank given in the The Merchant Acquiring and Escrow Policy 2023 (Section 13.2)**

(২) মার্চেন্ট অ্যাকাউন্টে প্রতারণা/জালিয়াতি ঘটছে মর্মে প্রতীয়মান হলে এ্যাকোয়ারার অবিলম্বে তা তদন্ত করবে এবং ঘটনার সত্যতা প্রমাণিত হলে মার্চেন্ট অ্যাকাউন্টে লেনদেন বন্ধ করে প্রযোজ্য ক্ষেত্রে আইনি ব্যবস্থা গ্রহণ করবে।

**** Any Risk Grading can be updated to a high risk event or downgraded to a lower risk segment upon investigation. The assignment of risk grading lies solely within the jurisdiction of the compliance team of Sheba Pay and/or in the case of direct instruction from the regulators or law enforcing agencies of Bangladesh.**

Section 2

Action Points for Suspicious Activities for AML/CFT

2.1 Complaint Funnel to Compliance

Suspicious activities can be identified and land on compliance through the following channels:

1. Internal Monitoring (**STR Dashboard/SOC Monitoring**)
2. Bangladesh Bank / BFIU
3. Banks and other Financial Institutions
4. Law Enforcements Agencies (Police/CID/DB) (Direct / Via LRA)
5. CX, VOC, Internal Whistleblower (Via SML / SPL / Directly to Compliance)

2.2 Compliance Action Points

Initial Compliance Screening

- Log the complaint/case with a unique Case ID.
- Categorize into Risk Level according to this SOP's Section 1 (Low / Medium / High).
- Assess severity and potential business/financial impact.

2.3 Risk-Based Tiered Response Framework

The flagged account will be categorized into **one of three risk levels**:

Risk Level	Immediate Action
Low Risk	Place under Observation . Give a verbal warning for right document submission if necessary
Moderate Risk	Issue Verbal Warning and/or Temporary Lock
High Risk	Priority Investigation and Permanent Lock if required

2.4 Types of Locks

2.4.1 Temporary Lock (Moderate–High Risk)

Purpose: Prevent continuation of harmful activity while verifying information.

Action Steps:

- Temporary LOCK suspicious accounts immediately by the compliance/SOC/KYC team.
- Temporarily disable transaction capabilities (Add Money, Transfer).
- The merchant is informed via call, SMS, and push notification.
- A **3-day window** is given to submit clarification (e.g., business proof, license, receipts).
- Maintain Lock history in the [Compliance Lock-Unlock Sheet](#)
(Special Instruction: *****No Account Listed in This Sheet can be Unlocked Without Express Approval from Compliance Team written in the Action point of this Sheet*****)

Compliance Checklist:

- Document case ID, screenshots, transaction log, and call record.
- Mark status as “Temporarily Locked – Pending Review.”

Unlock Conditions:

- If the merchant responds with a valid explanation and documents that support his transaction and business type, the account may be reinstated. To be reviewed within 3 business days.
- If a merchant fails to respond within 10 days, escalate to permanent lock.

2.4.2 Permanent Lock (High Risk)

Purpose: Secure the platform from repeated, intentional, or harmful misuse.

Action Steps:

- Permanently block wallet access and tag account as "Suspicious - Terminated."
- Suspend all related services
- Inform relevant internal teams and stakeholders (eKYC, Business Lead, CX, VOC, Tech, SOC and SML)
- Prepare a closure report with:
 - Timeline of events
 - Evidence collected
 - Team actions taken
- Submit a report to the Compliance Manager and store it in a centralized case archive.

- Maintain Lock history in the [Compliance Lock-Unlock Sheet](#)

2.5 Unlocking Procedure

1. Compliance Review:

- a. Temporary Lock → reviewed within **3 business days**.
- b. High Risk / Permanent Lock → decision within **10 business days**, or upon regulator/LEA directive instantly.

2. Decision Outcomes:

- a. Unlock:
 - i) If the customer provides valid justifications on his activities.
 - ii) If a customer declares a true fact with valid documents (Written / Digital Application, Valid and updated TL (in case basis), Valid proof of transactions, Any sign of true confession for his activities and promise not to do such activities again.
- b. Unlock: i) After standard or thorough investigation by compliance team, if found not suspicious or seems like unintentional activities or activities to be considered for the first time.

**** Special Case - Regulator Directed:** Unlock only on Bangladesh Bank/BFIU instruction if expressed specifically through a formal chain (Official Letter or authorized e-mail)

Section 3

Service Level Agreement

Service Level Agreements (SLA)

Stage	Responsible Team	Timeline
Account Lock Execution	Compliance	Immediate upon trigger
Customer Notification (Call + Push)	Compliance → CX	Within 2 hour of lock (Note if customer does not respond within first 2 hours, retry 1 more time within 12 hours of locking)
Temporary Lock Review	Compliance	≤ 3 business days
Permanent Lock Confirmation	Compliance	≤ 10 business days
Customer Feedback Escalation	CX → Compliance	Same Day
Unlock Decision Communication	Compliance → CX	Within T + 1 of decision
Reporting to SML (Sheba Manager Lead)	Compliance	Weekly Summary

Communication with Sheba Manager (SML) Business Team

- Compliance will share a **weekly report** of all locked/unlocked accounts with the SML team.
- High-risk merchant cases notified to **SML within 24 hours**.

Section 4

Roles & Responsibilities

Team	Role	Responsibilities
SOC (Security Operations Center)	Detect & Alert	- Monitor STR Dashboard, login anomalies, geolocation mismatches. - Generate alerts for suspicious activity (velocity, circular transfers, device/IP issues).

		- Escalate cases to Compliance with evidence (logs, screenshots, case ID). - Assist Compliance in investigations with forensic data (IP/device reports). - Maintain 24/7 monitoring coverage.
TECH (Technology Team)	Enforce & Secure	- Build dashboards & automation for Compliance monitoring. - Ensure data integrity, system security, and regulatory evidence preservation.
CX (Customer Experience Team)	Communicate & Escalate	- Notify customers of account lock within 2 hours (Call + Push + SMS). - Log customer complaints into CRM with Case ID. - Escalate cases to compliance immediately (no resolution timeline promised). - Inform customers: <i>"Unlock decisions will be taken by Compliance; no fixed timeline can be provided."</i> - Share customer sentiment/feedback with Compliance - Update customer once Compliance provides final decision (Unlock or Permanent Lock).
LRA (Law & Regulatory Affairs)	External Liaison & Legal Alignment	- Act as the primary contact point with regulators (Bangladesh Bank, BFIU, MoF, Law Enforcement Agencies) - Receive official notices/orders from regulators and law enforcement.- Validate regulatory/legal implications and forward to Compliance for execution. - Support Compliance with interpretation of new circulars/regulations - Handle legal escalation in case of disputes, fraud cases, or court orders. - Maintain official communication records with external agencies - Ensure Sheba Pay policies are legally aligned with national laws and financial regulations.

Compliance	Execution & Internal Enforcement	- Receive suspicious case referrals from SOC, CX, partners, or LRA - Categorize risk (Low/Medium/High) and decide lock/unlock actions. - Oversee investigation: collect logs, KYC, evidence, transaction history - Execute account locks/unlocks in coordination with TECH. - Handover fund reconciliation to finance and ensure the task is done (TCSA transfer for permanently locked accounts) - Document and archive all case files with audit trail (6 years) - Report to regulators via LRA or directly as required (monthly reconciliation, STR/CTR). - Own SOPs, AML/CFT frameworks, and internal compliance training.
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Section 5

Communication Matrix with Relevant Stakeholders

Stage	Who is Informed	Channel	Timeline	Content
Suspicious Activity Detected	Compliance, SOC	Section 2.1 of this SOP.	Real-time	Case ID, suspicious activity type, Risk Grading according to this SOP
Action: Account Locked	CX, SOC, SML, Tech	Compliance → TECH/CX (Email + System Notification) → Update Lock - Unlock Sheet	Immediate	Account ID, reason, lock type

Customer Notification	Customer	CX (Call + Push + SMS)	Within 2 hour of lock	Account locked, under compliance review, contact 16516
Complaint Escalation	Compliance	CX → Compliance (CRM + Email)	Same day	Case details, customer statement if communication can be established
Investigation Ongoing	Compliance, SOC, TECH, CX, SML	Compliance → SOC/TECH/CX/SML/LRA (Email + Lock sheet update)	During review	Required data/logs, pending actions
Decision: Unlock / Permanent Lock	Compliance, SML, SOC, CX	Compliance → SOC/CX/SML/LRA (Email + Lock Sheet update)	Within SLA (3–10 days)	Unlock approval / Permanent lock instruction
Fund Reconciliation (Permanent Lock)	TECH, Finance, SOC	Compliance → TECH/Finance/SOC/LRA (Email + Ledger Report)	Within 15 business days after permanent lock	TCSA transfer details
Customer Final Update	Customer	CX (Call + Push + SMS)	Within 24 hrs of Compliance decision	Unlock confirmation / Permanent lock notice
Weekly Business Reporting	SML	Compliance → SML (Weekly Report)	Weekly	List of locked/unlocked accounts
Monthly Regulatory Reporting	Bangladesh Bank / BFIU	Compliance → Regulator (Official Report)	Monthly	TCSA reconciliation, case summary

Approval Matrix

For and on Behalf of SFL:

Name	Designation	Role	Signature	Date
Imtiaz Hossain	Management Trainee Officer - Compliance	Prepared by		
Rabisankar Bhattacharjee	Senior Manager - Compliance and Regulatory Affairs	Reviewed By		
Ilmul Haque Sajib	MD - SFL	Approval By		

APPENDIX 1.1

Compliance SOP / FAQ Lock/Unlock Accounts: Guideline for CX Team

Purpose

To equip the CX (Call Center) team with a clear, step-by-step guideline for handling account Lock and Unlock requests, ensuring compliance with regulatory standards and internal policies.

When Can an Account Be Locked?

An account may be locked based on one or more of the following triggers written in Section 1 of this SOP

Action for CX:

- CX should **NEVER** initiate lock by themselves.
- Only **inform the user** if their account is locked and provide the **reason (from CRM)**.

When Can an Account Be Unlocked?

An account may be unlocked **only** after proper verification, depending on the lock reason:

Lock Reason	Who Can Approve Unlock?	CX Role
KYC Issue (Photo/Doc mismatch)	eKYC Team	Inform customers to update documents via app
Transaction Monitoring Lock	Compliance	Explain reason & timeline for investigation. No commitment.
Customer Complaint (Fraud)	Compliance	Wait for internal approval; do NOT promise unlock.
Self-requested Lock by customer/merchant	CX Team (with verification)	Can be unlocked upon NID/OTP confirmation with full case details and history recorded with timeframe.
Lock Due to BB/BFIU Order	Only Compliance	Inform user: "Under Regulatory Review." No further info.

Compliance Lock-Unlock Sheet Protocol

A centralized [Compliance Lock-Unlock Sheet](#) is maintained by the Compliance team. It contains:

- Account ID or Wallet Number
- Lock Reason / Observations
- Lock Date
- Approved Action (LOCK/UNLOCK)
- Approver's Name and Timestamp

CX Team Instructions:

- Under no circumstances should CX unlock any account listed in the Compliance Lock-Unlock Sheet unless:
 - There is clear written instruction in the sheet to unlock, OR
 - A formal email confirmation from Compliance is received.
- CX may only refer to the status in the sheet and escalate questions back to Compliance.
- Do not commit any action (e.g., unlock timeline, refund) unless specified.

CX Step-by-Step Process (FAQ Style)

Q1: Customer says "Why is my account locked?"

A: "Sir/Madam, your account was locked for security/compliance reasons. We're currently reviewing the issue. You'll be informed once it's resolved."

Q2: "How long will it take to unlock?"

A: "Investigation may take up to 5–7 working days depending on the issue. We'll notify you when it's done."

Q3: "I want to unlock my account now!"

A: "Unlocking requires internal team approval. I've forwarded your request. You'll get an update once reviewed."

Q4: "Can I still use my money?"

A: "At this moment, account functions are temporarily disabled. If eligible, the balance will be safeguarded."

Q5: "My account was locked by mistake!"

A: "We understand your concern. Our Compliance team will recheck your case and get back to you."

DOs and DON'Ts for CX Team

✓ DO	✗ DON'T
Always log calls/tickets in CRM	Never commit to unlock timeframe

Escalate suspicious queries to Compliance	Don't reveal internal monitoring rules
Follow data privacy & verification steps	Don't manually unlock any account that is in the central lock/unlock sheet
Use approved scripts & templates	Don't engage in arguments or blame

Sample Script (For Locked Account)

"Hello, thank you for calling ShebaPay. Your account is currently under review due to a compliance/security reason. Our concerned team is investigating the matter. Please allow up to 5–7 working days for resolution. We will notify you via SMS once the status changes. Thank you for your patience."

APPENDIX 1.2

Handling Unreachable Merchants & Safeguarding Wallet Funds

In some cases, suspicious accounts are flagged and locked, but **no communication can be established** with the merchant. ShebaPay must ensure both compliance enforcement and protection of customer funds, in line with local financial regulations and ethical standards.

This section outlines the **protocols for unreachable merchants** and the **safeguarding measures for unclaimed wallet balances**.

Criteria for Classifying a Merchant as Unreachable

A merchant is considered *unreachable* if the following conditions are met:

1. **No successful contact attempts** (call/SMS/email/push) after account is flagged.
2. **No inbound communication** from the merchant within **30 days** of account lock.
3. **No activity** in the account (login, transactions, inquiry) within the **observation window**.

Communication & Follow-up Procedure

After locking the account, the following structured communication attempt timeline must be followed:

Timeline	Action
Day 1	Lock account. Send SMS + push notification explaining reason.

Day 1	Attempt call by VOC team (up to 2 times).
Week 1	Send another SMS with warning of inactivity consequence.
Month 1	Escalate to Business Team for possible local contact via agent.
Month 3	Final notice via SMS + push, stating account will be closed if no response.
Month 6	Mark as “Unreachable – No Response.” Proceed to permanent closure.

Each attempt must be logged in the case management system with timestamp and outcome.

Account Closure Process After 6 Months

If no contact is made and the merchant remains inactive:

1. The account is permanently closed.

- Status changed to **“Suspicious – Permanently Closed (Unreachable)”**.
- All ShebaPay system access revoked.
- Linked services (Sheba Manager, Merchant Dashboard, etc.) terminated.

2. Transfer of Funds to TCSA:

- Any wallet balance at the time of closure must be fully transferred to the Trust Cum Settlement Account (TCSA) maintained with the designated Trustee Bank.
- The transfer must include a ledger reference:

Merchant ID | Closure Date | Reason Code | Amount.

3. Blacklisting & System Restrictions:

- Merchant NID, phone number, device ID, and trade license information are blacklisted.
- Prevents future onboarding attempts with the same credentials.

4. Regulatory Compliance:

- Closure action and fund transfer must be reflected in the monthly TCSA reconciliation report.
- Records must be available for Bangladesh Bank inspection.

Safeguarding of Wallet Balance for Inactive/Locked Accounts

If there is **any balance in the merchant's wallet** at the time of permanent closure, ShebaPay must **preserve the funds safely** until legally claimed. (The following is written within context of **Draft e money Policy 2025 of Bangladesh Bank**)

Steps to Safeguard Wallet Balance:

1. All balances of locked or closed accounts are safeguarded in the **TCSA**.
2. No part of this balance may be used for operational expenses, lending, or reinvestment.
3. Internal records must maintain:
 - Merchant details (name, wallet ID, closure reason).
 - Ledger entry confirming transfer to TCSA.
 - Transaction history for the last 90 days.

Claim Procedure (If Merchant Returns Later)

If the merchant re-establishes contact within **3 years** from closure:

1. Full **KYC re-verification** (NID + selfie + shop photo) must be completed.
2. A fresh compliance investigation is conducted into the earlier suspicious activity.
3. If cleared:
 - The previously safeguarded wallet balance is refunded **directly from the TCSA** to the merchant's verified **bank or MFS account** (not via ShebaPay wallet).
 - Refund transaction is documented with audit trail and authorization.

Claim Procedure (If Merchant Does not Return After 6 Years)

After a period of **six (06) years** has passed without claim from the original customer, Sheba Pay shall transfer all such funds to the Bangladesh Bank and retain all identifying information.

All identifying information relating to the account and its closing balance shall be retained by Sheba Pay and Bangladesh Bank for a period of **no less than 12 years**.

If no claim is made on the remaining money or valuables **within 2 (two) years** after Bangladesh Bank has received them and settled any valid claim made by the customer, and if no party informs Bangladesh Bank during this time, then after the 2-year period, no one will have any right to that money or those valuables. They will be considered the property of the government and will be transferred to the government account accordingly.



Standard Operating Procedure (SOP):

Wallet Blocking

Title:	Wallet Blocking & Restriction Procedure
Department:	Compliance
Applies to:	Sheba Fintech Ltd
Effective Date:	16 October, 2025
Prepared by:	Rabisankar Bhattacharjee, Senior Manager & DCAMLCO.

Standard Operating Procedure (SOP) for Wallet Blocking — fully aligned with **Bangladesh Bank's AML/CFT Guidelines for Payment Service Providers (PSP), 2022**, the **Money Laundering Prevention Act, 2012**, and **Anti-Terrorism Act, 2009**.

1. Objective

To establish a clear process for blocking, suspending, or restricting customer mobile wallets when suspicious or non-compliant activities are detected, ensuring compliance with **AML/CFT regulations**, **BFIU directives**, and **Bangladesh Bank guidelines**.

2. Legal & Regulatory References

- *Bangladesh Bank AML/CFT Guidelines for Payment Service Providers (2022)*
 - *Money Laundering Prevention Act, 2012 (as amended)*
 - *Anti-Terrorism Act, 2009 (as amended)*
 - *UN Sanctions Implementation Guidelines (Bangladesh Bank)*
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3. Scope

Applies to:

- All customer wallets (Individual PRA A,B /Merchant C,D/Enterprise E)
 - All transaction types (Add Money, Send Money, Merchant Pay, Withdraw)
 - All PSP channels (app, web, agent)
-

4. Definitions

<u>Term</u>	<u>Meaning</u>
Block	Temporary or permanent restriction of wallet activity (debit/credit).
Freeze	Restriction mandated by regulator/law enforcement (no transaction allowed).
Restriction	Limited transaction function (e.g., debit stop, credit allowed).
STR/SAR	Suspicious Transaction/Activity Report filed to BFIU.

5. Circumstances for Wallet Blocking

Sl.	Reason for Blocking	Regulatory Basis / Section	Type of Action
1	Suspicious or Unusual Transactions (e.g., structuring, multiple Add Money same amount, rapid transfers)	AML/CFT Guideline Sec. 6.3.1, MLP Act Sec. 15	Temporary block + STR to BFIU
2	KYC/CID deficiency, forged or expired documents	PSP AML/CFT Guideline Sec. 5.2.2	Temporary restriction until update
3	Exceeding BB-approved transaction limits	BB circulars on PSP limit	Temporary block pending review
4	Link with Sanctioned/Blacklisted Entity	ATA 2009 Sec. 7, UNSC implementation	Immediate freeze; report to BB & BFIU
5	Fraudulent or Unauthorized Activity	AML/CFT Guideline Sec. 7.4	Block + internal investigation
6	Direction from Regulator/Law Enforcement	BFIU/BB instruction	Immediate block or freeze

6. Wallet Blocking Workflow

Step 1: Detection

- AML Monitoring System (rules-based/AI) generates alert.e
- Manual report from Operations, Risk, or Customer Service.

Step 2: Preliminary Review

- Compliance Officer analyzes pattern, checks KYC, transaction trend.
- Document findings in “Wallet Investigation Form (WIF)”.

Step 3: Approval to Block

- If suspicion is valid → Submit to the **Head of Compliance (HoC)** for authorization.
- HoC approves **temporary block** in the system.

Step 4: Execution

- The system team or AML officer blocks wallet (partial or full).

(For **Partial Block**: restricted for any wallet transactions from the customer end.

(For **Full Block**: restricted for all transactions and all facilities with [Sheba.xyz](https://sheba.xyz) and SML. No deduction of any package subscription fees or any fee related to SFL and Sheba xyz is allowed to deduct except imposed regulatory fee or excise duty or any fee related to Bangladesh Govt or Bangladesh Bank or Regulators.)

- Tag account status as:
 -  "Blocked – AML Review"
 -  "Restricted – KYC Pending"
 -  "Frozen – Regulatory Direction"

Step 5: Reporting

- If ML/TF suspicion is confirmed → **STR/SAR filed to BFIU within 1 working day.**
- For sanction or TFR case → **Report to BFIU & Bangladesh Bank Sanction Unit within 24 hours.**

Step 6: Communication

- Notify customers by mail/sms/push notifications/CX only if appropriate (avoid tipping-off in STR-related cases).
- For KYC/fraud reasons, provide limited message:

"Your wallet is temporarily restricted due to compliance requirements. Please contact support or visit the nearest office."

Step 7: Follow-up & Unblocking

- Compliance review completed.
- If suspicion cleared → request system to **unblock**.
- If confirmed ML/TF or regulatory freeze → remain **permanently blocked**.

7. Record Keeping

- Maintain **Wallet Investigation File (WIF)** including:
 - Transaction summary
 - KYC details
 - Investigation notes
 - Approval trail
 - Reporting confirmation (BFIU/BB acknowledgment)
 - Retain for **at least 5 years** as per AML Act.
-

8. Internal Controls & Review

- Monthly Compliance Report to Management showing:
 - Total wallets blocked/unblocked
 - Reason categories
 - STRs filed
 - Annual internal audit review for compliance adherence
-

9. Sample Notification Format (Customer)

Subject: Wallet Temporarily Restricted for Compliance Review

Dear [Customer Name],

Your Sheba Pay wallet has been temporarily restricted due to regulatory compliance requirements. Please contact our Compliance Support at [16516 / info@sheba.xyz] or visit your nearest Sheba Pay center for assistance. - SFL.

(Avoid sending this if linked to STR/ML/TF case to prevent “tipping-off” violation per Section 23 of AML Act.)

আপনার Sheba Pay ওয়ালেটটি কমপ্লায়েন্স জনিত কারণে সাময়িকভাবে সীমাবদ্ধ করা হয়েছে। সহায়তার জন্য অনুগ্রহ করে আমাদের সাথে যোগাযোগ করুন [16516 / info@sheba.xyz] অথবা আপনার নিকটতম Sheba Pay সেন্টারে যান। - SFL

10. Approval & Review

Prepared By

Reviewed By

Approved By

Compliance Officer

Head of Compliance

Managing Director